Ministry of Consumer Affairs, Food & Public Distribution

Centre advises Edible Oil Associations to maintain MRP of oil till availability of edible oil stocks imported at 0% & 12.5% Basic Customs Duty (BCD)

To bolster domestic oilseed farmers, increase in Basic Customs Duty on various edible oils effective from September 14th, 2024

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The Secretary, Department of Food and Public Distribution (DFPD), Government of India chaired a meeting with the Representatives from Solvent Extraction Association of India (SEAI), Indian Vegetable Oil Producers' Association (IVPA) and Soyabean Oil Producers Association (SOPA) here today, to discuss the pricing strategy. The leading Edible Oil Associations were advised to ensure that the MRP of each oil is maintained till the availability of edible oil stocks imported at 0% & 12.5% Basic Customs Duty (BCD) and take up the issue with their members immediately.

Earlier also, in pursuance of the Department's meetings with leading edible oil associations, the MRP of edible oils such as Sunflower Oil, Soyabean Oil and Mustard Oil were reduced by the industry. The reduction in oil prices had come in the wake of reduction of international prices and reduced import duty on edible oils making them cheaper. The industry has been advised from time to time to align the domestic prices with the international prices so as to reduce the burden on the consumers.

The Government of India has implemented an increase in the Basic Customs Duty on various edible oils to support domestic oilseed prices. Effective September 14, 2024, the Basic Customs Duty on Crude Soybean Oil, Crude Palm Oil, and Crude Sunflower Oil has been raised from 0% to 20%, making the effective duty on crude oils to 27.5%. Additionally, the Basic Customs Duty on Refined Palm Oil, Refined Sunflower Oil, and Refined Soybean Oil has been increased from 12.5% to 32.5% making the effective duty on Refined oils as 35.75%.

These adjustments are part of the government's ongoing efforts to bolster domestic oilseed farmers, especially with the new soybean and groundnut crops expected to arrive in markets from October 2024.

The decision follows comprehensive deliberations and is influenced by several factors: increased global production of soybean, oil palm, and other oilseeds; higher global ending stocks of edible oils compared to last year; and falling global prices due to

surplus production. This situation has led to a surge in imports of inexpensive oils, exerting downward pressure on domestic prices. By raising the landed cost of imported edible oils, these measures aim to enhance domestic oilseed prices, support increased production, and ensure that farmers receive fair compensation for their produce.

Central Government is also aware that there is close to 30 LMT stock of edible oils imported at lower duty which is sufficient for 45 to 50 days domestic consumption.

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